

Company Expense & Procurement Policy

Effective Date: January 1, 2025 | Version 3.2 | Approved by: Bob Martinez, CFO

1. Purpose

This policy establishes the guidelines and approval requirements for all company expenditures, including procurement of goods and services, travel expenses, and vendor payments. All employees are expected to comply with these guidelines when making purchases on behalf of the company.

2. Approval Thresholds

All purchase orders and expense requests must be approved according to the following thresholds. These thresholds were updated from the 2024 policy to reflect the company's growth.

Amount Range	Required Approval	Turnaround Time
Up to \$5,000	Direct Manager	1 business day
\$5,001 - \$50,000	Department Director	3 business days
\$50,001 - \$100,000	VP Level	5 business days
Over \$100,000	CFO + VP Level	7 business days

3. Vendor Payment Terms

All vendor invoices must be paid within 30 days of the invoice date (Net-30). For preferred vendors with annual contracts exceeding \$100,000, payment terms may be extended to Net-45 with CFO approval. Early payment discounts (2/10 Net-30) should be taken whenever the discount exceeds the company's cost of capital. Late payments incur a 1.5% monthly penalty and must be reported to the Finance department.

4. Vendor Onboarding Requirements

All new vendors must complete the onboarding process before any purchase orders can be issued. The onboarding process includes: (a) W-9 or W-8BEN form submission, (b) Insurance certificate verification, (c) Background check for vendors with facility access, (d) Data security assessment for technology vendors, (e) Contract review by Legal department. The typical onboarding timeline is 2-4 weeks.

5. Expense Categories

Category	Budget Code	Annual Limit
Technology & Software	TECH-100	\$500,000

Office Supplies	OPS-200	\$50,000
Staffing & Contractors	HR-300	\$800,000
Facilities & Maintenance	FAC-400	\$300,000
Legal & Compliance	LEG-500	\$200,000
Food & Events	EVT-600	\$75,000

6. Non-Compliant Spending

Purchases made without proper approval will be flagged in the monthly compliance report. Employees who repeatedly violate this policy may face disciplinary action. Vendors who submit invoices exceeding the approved PO amount by more than 10% will have their invoices held pending review. Any invoice discrepancy must be resolved within 15 business days.

7. Inactive Vendor Policy

Vendors with no purchase orders in the past 12 months will be marked as inactive. Inactive vendors must go through a simplified re-onboarding process before new purchase orders can be issued. This includes updated insurance certificates and a review of contract terms.